Fraud Prevention and Dispute Resolution Policy

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This is a synthetic document created for software testing (RAG evaluation). Meridian National Bank is a fictional institution; all figures, names and policies are invented.

1. Customer Liability in Unauthorised Electronic Transactions

In line with RBI's circular on limiting customer liability, liability depends on who is at fault and how quickly the customer reports.

Scenario	Customer liability
Fraud due to bank or system deficiency, regardless of reporting time	Zero
Third-party breach where deficiency lies neither with bank nor customer, reported within 3 working days of receiving the communication	Zero
Same as above, reported within 4 to 7 working days	Transaction value or INR 10,000 (savings accounts), whichever is lower; up to INR 25,000 for certain current accounts and credit cards with limits above INR 5 lakh
Reported after 7 working days	As per bank's board-approved policy
Loss due to customer negligence (e.g. sharing PIN or OTP)	Full loss until the customer reports; bank bears the loss after reporting

2. Reporting Fraud

Customers should report unauthorised transactions through the app (Help > Report Fraud), the helpline 1800-000-0123, or at any branch. The bank sends SMS and email alerts for every transaction; customers must keep their contact details updated. On receipt of a report, the bank will block the instrument and create a complaint reference number within 1 hour.

3. Resolution Timelines

- A shadow (provisional) credit equal to the disputed amount will be given to the customer's account within 10 working days of the report, for zero-liability cases.
- The investigation must be completed and the customer informed within 90 days of the complaint.
- Chargeback requests for card transactions must be raised within 120 days of the transaction date. ATM cash-out disputes (cash not dispensed) must be settled within 5 working days; delay attracts compensation of INR 100 per day.

4. Common Fraud Types and Controls

Fraud type	Description	Bank control
Phishing / vishing	Fake links or calls requesting credentials	Customer education, SMS sender verification, domain monitoring
SIM swap	Fraudster obtains duplicate SIM to receive OTP	24-hour hold on high-value transactions after a detected SIM change
Card skimming	Illegally copied card data	EMV chip cards, anti-skimming devices at ATMs

Fraud type	Description	Bank control
Mule accounts	Accounts used to route fraud proceeds	Transaction monitoring, rapid freeze and KYC review
Remote access scams	Victim tricked into installing screen-sharing apps	In-app warning when screen-sharing apps are detected

5. Internal Fraud Governance

All frauds of INR 1 lakh and above are reported to the Fraud Risk Management Committee within 24 hours. Frauds of INR 1 crore and above are reported to the Board's Special Committee within 7 days and to the RBI via the FMR return within 14 days of classification.